

you hate taking risk and are happier with lower efficiency, you can extend three years to four, or even five. But for most of us, a period of three years is the threshold of Almost There in terms of financial needs. What could these needs be? Getting married, sending kid to school (some of these teaching shops take development fees that cost a bomb), buying a house, buying a car, going for a holiday, financing mum's surgery, buying dad a car – go on, you write a few down on that paper.

In Some Time are planned expenses that sit between three to seven years away. Already, it begins to get a bit difficult to plan ahead. But let's try. Depending on your age and stage, In Some Time could fill with down payment on your house, kids' higher-education fees, kids' marriage and your retirement. Write down what you think your unique In Some Time needs will be.

Far Away are expenses that are really hard to imagine today. At age thirty to thirty-five it seems impossible that you will ever get old. I've crossed fifty, and even I find it difficult to think that I will fully retire, and will have to depend on my savings for living costs sometime in the not so distant future. And for you in your twenties and thirties, retirement must be truly that which happens to Martians. But look around you, at the faces of your grandparents (specially your grandmum) and parents, and understand fully that you will get there. You will. I will, we all will. The retirement question needs a full chapter to decode and we'll get there soon.

Next, we put down what each of these will cost you in the future. Put down a value next to each of these – what it costs today. For example, if you know that you will need money to pay for a down payment on a house in two years, you know already what your budget is and approximately how much you will need in two years. But what if the goal is further away – say, you know that you want to send your kid abroad in six years for her undergraduate degree but she has no idea what she will do yet.

Though costs will vary across schools and cities, you will get a ballpark figure today. Put down your retirement as a goal for the Far Away. There are very smart calculators that will do the numbers for you – of what you will need and how much you need to save today. The calculators will 'inflation-index' the present cost of your future goals.